July 31, 2026

SUBMITTED VIA CFTC PORTAL
Secretary of the Commission
Office of the Secretariat
U.S. Commodity Futures Trading Commission
Three Lafayette Centre
1155 21st Street, N.W.
Washington, D.C. 20581

Re: KalshiEX LLC – CFTC Regulation 40.2(a) Notification Regarding the Initial Listing of the "Will an alternative wage for Californian goat herders be authorized <time period>?" Contract

Dear Sir or Madam,

Pursuant to Section 5c(c) of the Commodity Exchange Act and Section 40.2(a) of the regulations of the Commodity Futures Trading Commission, KalshiEX LLC (Kalshi), a registered DCM, hereby notifies the Commission that it is self-certifying the "Will an alternative wage for Californian goat herders be authorized <time period>?" contract (Contract). The Contract will initially be listed after close-of-business on **July 31, 2026**; it is listed as the day after because of limitations of the Commission's online submission portal. The Exchange intends to list the contract on a custom basis. The Contract's terms and conditions (Appendix A) includes the following strike conditions:

- **<time period>**

Along with this letter, Kalshi submits the following documents:

- A concise explanation and analysis of the Contract;
- Certification;
- Appendix A with the Contract's Terms and Conditions;
- Confidential Appendices with further information; and
- A request for FOIA confidential treatment.

If you have any questions, please do not hesitate to contact me.

Sincerely,

Xavier Sottile
Head of Markets
KalshiEX LLC
xsottile@kalshi.com

KalshiEX LLC
Official Product Name: "Will an alternative wage for Californian goat herders be authorized <time period>?"
Rulebook: CAGOATWAGE
Summary: California goat-herder wage
Kalshi Contract Category: Political Decision
Kalshi Internal Category: Politics
July 31,2026

CONCISE EXPLANATION AND ANALYSIS OF THE PRODUCT AND ITS COMPLIANCE WITH APPLICABLE PROVISIONS OF THE ACT, INCLUDING CORE PRINCIPLES AND THE COMMISSION'S REGULATIONS THEREUNDER

Pursuant to Commission Rule 40.2(a)(3)(v), the following is a concise explanation and analysis of the product and its compliance with the Act, including the relevant Core Principles (discussed in Appendix D), and the Commission's regulations thereunder.

I. Introduction

The "Will an alternative wage for Californian goat herders be authorized <time period>?" Contract is a contract relating to **Politics**.

Further information about the Contract, including an analysis of its risk mitigation and price basing utility, as well as additional considerations related to the Contract, is included in Confidential Appendices C, D, and E.

Pursuant to Section 5c(c) of the Act and CFTC Regulations 40.2(a), the Exchange hereby certifies that the listing of the Contract complies with the Act and Commission regulations under the Act.

General Contract Terms and Conditions: The Contract operates similar to other event contracts that the Exchange lists for trading. The minimum price fluctuation is $0.01 (one cent). Price bands will apply so that Contracts may only be listed at values of at least $0.01 and at most $0.99. Further, the Contract is sized with a one-dollar notional value and has a minimum price fluctuation of $0.01 to enable Members to match the size of the contracts purchased to their economic risks. As outlined in Rule 5.16 of the Rulebook, trading shall be available at all times outside of any maintenance windows, which will be announced in advance by the Exchange. Members will be charged fees in accordance with Rule 3.13 of the Rulebook. Fees, if they are charged, are charged in such amounts as may be revised from time to time to be reflected on the Exchange's Website. A new Source Agency can be added via a Part 40 amendment. All instructions on how to access

the Underlying are non-binding and are provided for convenience only and are not part of the binding Terms and Conditions of the Contract. They may be clarified at any time. Furthermore, the Contract's payout structure is characterized by the payment of an absolute amount to the holder of one side of the option and no payment to the counterparty. During the time that trading on the Contract is open, Members are able to adjust their positions and trade freely. The Expiration Value and Market Outcome are determined at or after Market Close. The market is then settled by the Exchange, and the long position holders and short position holders are paid according to the Market Outcome. In this case, "long position holders" refers to Members who purchased the "Yes" side of the Contract and "short position holders" refers to Members who purchased the "No" side of the Contract. If the Market Outcome is "Yes," meaning that an event occurs that is encompassed within the Payout Criterion, then the long position holders are paid an absolute amount proportional to the size of their position and the short position holders receive no payment. If the Market Outcome is "No," then the short position holders are paid an absolute amount proportional to the size of their position and the long position holders receive no payment. Specification of the circumstances that would trigger a Market Outcome of "Yes" are included below in the section titled "Payout Criterion" in Appendix A.

CERTIFICATIONS PURSUANT TO SECTION 5c OF THE COMMODITY EXCHANGE ACT, 7 U.S.C. § 7A-2 AND COMMODITY FUTURES TRADING COMMISSION RULE 40.2, 17 C.F.R. § 40.2

Based on the above analysis, the Exchange certifies that:

- ❏ The Contract complies with the Act and Commission regulations thereunder.
- ❏ This submission (other than those appendices for which confidential treatment has been requested) has been concurrently posted on the Exchange's website at https://kalshi.com/regulatory/filings.

Should you have any questions concerning the above, please contact the exchange at ProductFilings@kalshi.com.



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By: Xavier Sottile
Title: Head of Markets
Date: July 31,2026

Attachments:

Appendix A - Contract Terms and Conditions
Appendix B - Trading Prohibitions
Appendix C (Confidential) - Further Considerations
Appendix D (Confidential) - Source Agency
Appendix E (Confidential) - Compliance with Core Principles

APPENDIX A – CONTRACT TERMS AND CONDITIONS

Official Product Name: “Will an alternative wage for Californian goat herders be authorized <time period>?”
Rulebook: CAGOATWAGE

CAGOATWAGE

Scope: These rules shall apply to this contract.

Underlying: The Underlying for this Contract is official records of the State of California and reporting from the Source Agencies regarding legislative, regulatory, executive, and judicial actions affecting the minimum wage and overtime obligations applicable to California employers of goat herders <time period>. Revisions to the Underlying made after Expiration will not be accounted for in determining the Expiration Value.

Source Agency: The Source Agencies are, in hierarchical order, California Legislative Information, the official journals of the Assembly and Senate of California, the Office of the Governor of California, the California Secretary of State, the California Department of Industrial Relations (including the Labor Commissioner/DLSE and the Industrial Welfare Commission), the California Office of Administrative Law, the Official Californian Code of Regulations. the issuing court, the Associated Press, Reuters, The Guardian, Bloomberg News, The New York Times, The Wall Street Journal, The Washington Post, the Los Angeles Times, the San Francisco Chronicle, the Sacramento Bee, CalMatters, Politico, Axios, CNN, ABC, CBS, NBC, Agri-Pulse, and Fox News.

Type: The type of Contract is an Event Contract.

Issuance: After the initial Contract, Contract iterations will be listed on an as-needed basis at the discretion of the Exchange and corresponding to the risk management needs of Members.

<time period>: <time period> refers to a specific duration or range of time as specified by the Exchange. May be expressed as a calendar year (e.g., "2026"), a calendar month and year (e.g., "September 2026"), a calendar quarter (e.g., "Q3 2026"), a specific week, or other bounded time periods as appropriate to the contract subject matter. All time periods are interpreted in Eastern Time (ET) unless otherwise specified. The end of <time period> is defined as 11:59:59 PM ET on the final day of the specified period, unless otherwise specified. The Exchange may list iterations of the Contract corresponding to variations of <time period>.

Payout Criterion: The Payout Criterion for the Contract encompasses the Expiration Values that a Qualifying Action has been taken <time period>.

A "Qualifying Action" means:

1. a California statute has become law, whether by the Governor's signature, by passage over a gubernatorial veto under Article IV, Section 10(a) of the California Constitution, or by operation of Article IV, Section 10(b), and regardless of vehicle, including a policy bill, urgency statute, budget bill, budget trailer bill, or special session bill;

2. a regulation finally approved by the California Office of Administrative Law and filed with the California Secretary of State, or an Industrial Welfare Commission wage order that has been amended or republished and has taken effect;
3. a written regulation, binding directive, final order, or formal statewide enforcement policy issued by a California state agency, department, board, commission, or officer with authority over the subject matter, including but not limited to the Department of Industrial Relations, the Labor Commissioner and the Division of Labor Standards Enforcement, the Industrial Welfare Commission, the Employment Development Department, the Department of Food and Agriculture, the Department of Forestry and Fire Protection, and the Department of Finance. An opinion letter or official interpretation is included only if it binds the issuing body or expressly states that body's statewide enforcement position;
4. an executive order or proclamation issued by the Governor of California; or
5. a written order entered by a California state court or a United States federal court.

Which has at least one of the following effects:

1. it reenacts, revives, restores, or extends the alternative monthly wage authority formerly contained in California Labor Code Section 2695.4(a), or establishes an alternative to it;
    a. "Goat herder" means an individual employed to perform any of the duties described in former California Labor Code Section 2695.3(d), as that section read immediately before its repeal on July 1, 2026. Where an instrument described above defines goat herders or a comparable class differently, that instrument's definition governs for purposes of applying the Payout Criterion to that instrument.
2. it provides that goat herders are eligible for the alternative monthly wage framework applicable to sheepherders under California Labor Code Sections 2695.1 and 2695.2, including by determining that "sheepherder" as used in California Labor Code Section 2695.2 encompasses goat herders;
3. it establishes an alternative monthly wage, a special minimum wage, a modified overtime threshold, a modified compensable-hours rule, an exemption in whole or in part from minimum wage or overtime requirements, a safe harbor, or a limitation on damages or penalties (subject to the conditions set out in what would NOT satisfy the Payout Criterion), in each case applicable to goat herders or their employers;
4. it directs that any portion of the minimum wage or overtime obligations otherwise applicable to California employers of goat herders not be enforced or collected, including by a formal written policy of enforcement forbearance;

5. it provides employers of goat herders a tax credit, reimbursement, grant, subsidy, payment, or contract price adjustment expressly tied to goat herder minimum wage or overtime obligations; or
6. it enjoins or prohibits the enforcement or collection of any portion of the minimum wage or overtime obligations otherwise applicable to California employers of goat herders, or declares those obligations wholly or partially inapplicable to goat herders. A stay entered solely on procedural grounds, including arbitration, venue, discovery, bankruptcy, or case management, is not a Qualifying Action unless the order itself bars enforcement or collection of the underlying wage or overtime obligation.

And which:

1. applies statewide, or is generally available to employers of goat herders as a class, and is not limited to a named employer, a named individual, or the parties to an individual, non-class case;
2. was enacted, approved and filed, issued, or entered, as applicable, on or before the end of <time period>;
3. has qualifying provisions that have taken legal effect, or by their express terms apply to compensation for work performed, on or before the end of <time period>;
4. has qualifying provisions that have not been stayed, enjoined, suspended, invalidated, rescinded, or superseded as of the Expiration Date at the Expiration time; and
5. satisfies the Net Monthly Cost test described below.

Subject to the foregoing requirements, an instrument is a Qualifying Action whether its relief is partial or complete, temporary or permanent, retroactive or prospective, and regardless of its label, vehicle, or stated duration.

Net Monthly Cost test. An instrument satisfies the Net Monthly Cost test if the Net Monthly Cost under the instrument does not exceed the monthly minimum wage applicable to sheepherders under California Labor Code Section 2695.2 and Section 4(E) of Industrial Welfare Commission Wage Order No. 14-2001, plus 15%, as in effect on the last day of <time period>. An instrument that enjoins or prohibits the enforcement or collection of the applicable minimum wage and overtime obligations in their entirety is deemed to satisfy this test.

Net Monthly Cost means the employer's minimum required wage and overtime cost of compensating a goat herder employed on a regularly scheduled 24-hour shift, seven days per week, for one calendar month, computed under the wage and overtime rules as modified, limited, or rendered unenforceable by the instrument, minus the monthly value

of any credit, reimbursement, grant, subsidy, payment, or contract price adjustment legally available to the employer under the instrument.

Where and to the extent the goat herder's compensation is determined under hourly wage and overtime rules, the following defaults apply, except to the extent the instrument itself legally modifies the number of compensable hours, the applicable hourly wage rate, or the applicable premium pay requirements, in which case the instrument's modified terms govern: all 24 hours of each shift are treated as compensable; the applicable rate is the California minimum wage in effect on the last day of <time period>; each workweek consists of 40 hours at the regular rate, 40 hours at one and one half times the regular rate, and 88 hours at two times the regular rate; and one calendar month equals 52/12 workweeks.

Only benefits available as of right to all qualifying employers, without further appropriation, competitive award, application ranking, or agency discretion, are included in the computation. A lump sum benefit is prorated over the period to which it is expressly attributable, and a benefit that cannot be allocated on a per goat herder, per month basis is not included. An instrument consisting of a written order entered by a California state court or a United States federal court is tested by computing Net Monthly Cost under the obligations as limited by that instrument.

The legal date of an instrument controls, and not the date on which it is published, posted, or reported. A statute is dated as of the date it becomes law; a regulation as of final approval by the Office of Administrative Law and filing with the Secretary of State, or as of another legally controlling adoption date; a wage order as of its stated effective date; an administrative directive, final order, or formal statewide enforcement position as of its official issuance; an executive order or proclamation as of its issuance; and a court order as of its entry.

The following do not satisfy the Payout Criterion:

- a bill that has not become law, including a bill passed by one or both chambers and a bill vetoed and not overridden;
- a proposed regulation, rulemaking notice, petition, or draft policy that has not been finally approved and filed;
- the filing or pendency of litigation without a written order of a California state court or a United States federal court;
- a nonbinding advisory, an opinion letter that neither binds the issuing body nor expressly states that body's statewide enforcement position, a staff communication, a frequently-asked-questions page, or a website statement;
- a statement, press release, hearing, study, report, recommendation, or political agreement;
- an authorization of a future program that requires a further appropriation, implementing legislation, or discretionary agency approval before relief becomes legally available;

- a general appropriation or funding for agriculture, grazing, fire prevention, or vegetation management not expressly tied to goat herder minimum wage or overtime obligations;
- a reenactment limited to the definitional, housing, meal period, safety, communication, transportation, or other non-wage provisions formerly contained in California Labor Code Sections 2695.3 and 2695.4;
- federal legislation and federal executive or administrative action, provided that a written order of a United States federal court is not excluded by this item;
- action by a city, county, fire district, or other local government, unless it implements a qualifying state program;
- a private settlement or agreement not entered as a written order of a California state court or a United States federal court;
- and relief consisting solely of a limitation on damages, penalties, or interest, without any of (a) any reduction of the underlying wage, (b) any reduction of overtime obligation, OR (c) any qualifying payment.

Only actions documented by a Source Agency on or before the Expiration Date at the Expiration time will be considered. Where the records of the Source Agencies conflict, or where a Source Agency retracts, corrects, or removes information, the official records of the body that took the action govern.

Examples that would resolve the market to Yes:

- <time period> is "August 2026." On August 28, 2026, the Legislature passes and the Governor signs an urgency statute making goat herders eligible for the alternative monthly wage authorized for sheepherders by Labor Code Section 2695.2, effective immediately. The statute is not stayed, enjoined, suspended, or invalidated as of the Expiration Date at the Expiration time. The Net Monthly Cost under the alternative monthly wage does not exceed the Net Monthly Cost test threshold.
- <time period> is "September 2026." On September 25, 2026, the Governor signs a bill authorizing employers of goat herders to pay, in lieu of the minimum wage for all hours worked, a monthly wage of no less than $5,200, by its express terms applicable to compensation for work performed on and after July 1, 2026. The monthly minimum wage applicable to sheepherders in effect on September 30, 2026 is $4,938.21, so the Net Monthly Cost test threshold is $5,678.94, and the bill's $5,200 Net Monthly Cost does not exceed it.
- <time period> is "Q3 2026." On August 20, 2026, the Industrial Welfare Commission amends and republishes Wage Order No. 14-2001 to provide that a goat herder employed on a regularly scheduled 24-hour, seven-day-per-week on-call shift is compensable for eight hours per day, effective on that date. The Net Monthly Cost computed under the amended wage order does not exceed the Net Monthly Cost test threshold.

- <time period> is "2026." On November 10, 2026, a California superior court enters a written order in a certified class action declaring that goat herders statewide are eligible for the alternative monthly wage framework applicable to sheepherders under Labor Code Section 2695.2. The order is in effect as of the Expiration Date at the Expiration time. The Net Monthly Cost under the alternative monthly wage does not exceed the Net Monthly Cost test threshold.

Examples that would NOT resolve the market to Yes:

- <time period> is "August 2026." The Senate passes a goat herder wage parity bill on August 25, 2026, but the Assembly does not act on it, and no such bill becomes law on or before August 31, 2026.
- <time period> is "2026." On September 15, 2026, the Governor signs a bill appropriating $10,000,000 to the Department of Forestry and Fire Protection for targeted grazing contracts, and no instrument produces any of the effects listed above on or before December 31, 2026.
- <time period> is "Q3 2026." On August 5, 2026, the Labor Commissioner posts a frequently-asked-questions page on the Department of Industrial Relations website stating that the office does not currently intend to prioritize enforcement actions against goat-grazing employers, and no instrument produces any of the effects listed above on or before September 30, 2026.
- <time period> is "2026." On September 20, 2026, the Governor signs a bill authorizing employers of goat herders to pay, in lieu of the minimum wage for all hours worked, a monthly wage of no less than $12,000. The monthly minimum wage applicable to sheepherders in effect on December 31, 2026 is $4,938.21, so the Net Monthly Cost test threshold is $5,678.94, and the bill's $12,000 Net Monthly Cost exceeds it. No other instrument produces a qualifying effect on or before December 31, 2026.
- <time period> is "2026." On October 2, 2026, a California superior court enters an order in a wage claim brought by one goat herder against one employer holding that the employer may compensate that goat herder on a monthly basis. The order is limited to the parties to that individual, non-class case.

Minimum Tick: The Minimum Tick size for the Contract shall be $0.01.

Position Accountability Level: The Position Accountability Level for the Contract shall be $25,000 per strike, per Member.

Last Trading Date: The Last Trading Date of the Contract will be the same as the Expiration Date. The Last Trading Time will be the same as the Expiration time.

Settlement Date: The Settlement Date of the Contract shall be no later than the day after the Expiration Date, unless the Market Outcome is under review pursuant to Rule 7.1.

Expiration Date: The latest Expiration Date of the Contract shall be one week after the end of <time period>. If an event described in the Payout Criterion occurs, expiration will be moved to an earlier date and time in accordance with Rule 7.2.

Expiration time: The Expiration time of the Contract shall be 10:00 AM ET.

Settlement Value: The Settlement Value for this Contract is $1.00.

Expiration Value: The Expiration Value is the value of the Underlying as documented by the Source Agency on the Expiration Date at the Expiration time.

Contingencies: Before Settlement, Kalshi may, at its sole discretion, initiate the Market Outcome Review Process pursuant to Rule 7.1 of the Rulebook. If an Expiration Value cannot be determined on the Expiration Date, Kalshi has the right to determine payouts pursuant to Rule 7.1 in the Rulebook.

APPENDIX B – TRADING PROHIBITIONS

In addition to the general prohibition against trading on material nonpublic information, the Exchange will institute additional prohibitions for trading the contract. Persons under 18 years of age are not permitted to create Kalshi accounts. The following individuals will be prohibited from trading:

- Members, officers, and employees of the California State Senate and State Assembly, including committee, leadership, and Rules Committee staff, the Office of Legislative Counsel, the Legislative Analyst's Office, and the Chief Clerk's and Senate Secretary's offices.
- The Governor and the Governor's office legislative-affairs and legal-affairs staff; officers and employees of the Department of Finance, the Office of Administrative Law, and the Secretary of State personnel responsible for chaptering enrolled bills.
- Officers and employees of the Department of Industrial Relations, the Division of Labor Standards Enforcement and the Labor Commissioner's office, the Industrial Welfare Commission, the Employment Development Department, the Department of Food and Agriculture, and the Department of Forestry and Fire Protection, in each case where the individual has authority over or advance knowledge of wage-order or enforcement-policy actions affecting goat herders.
- Lobbyists registered with the California Secretary of State on this subject matter, together with their employers and clients; officers and staff of the California Farm Bureau Federation, the California Wool Growers Association, the California Cattlemen's Association, the California Labor Federation, and the United Farm Workers.
- Counsel of record, party representatives, named plaintiffs, class representatives, expert witnesses, and court personnel in any pending or threatened action seeking an order that would satisfy the Payout Criterion.
- Any person retained to draft or negotiate proposed statutory or regulatory language on this subject, including officers, directors, and employees of California goat-grazing and targeted-grazing contractors participating in that drafting or negotiation.
- Immediate family members and members of the household of any person listed above.